

**Pacific Public Media
(KNKX)**

Financial Statements
Years Ended May 31, 2022 and 2021

Pacific Public Media
(KNKX)

Financial Statements
Years Ended May 31, 2022 and 2021

**Pacific Public Media
(KNKX)**

Contents

Independent Auditor's Report	3-4
Financial Statements	
Statements of Financial Position as of May 31, 2022 and 2021	6
Statements of Activities for the Years Ended May 31, 2022 and 2021	7
Statement of Functional Expenses for the Year Ended May 31, 2022	8
Statement of Functional Expenses for the Year Ended May 31, 2021	9
Statements of Cash Flows for the Years Ended May 31, 2022 and 2021	10
Notes to Financial Statements	11-18



Tel: 206-382-7777
Fax: 206-382-7700
www.bdo.com

Two Union Square, 601 Union Street
Suite 2300
Seattle, WA 98101

Independent Auditor's Report

To the Board of Directors
Pacific Public Media
Seattle, Washington

Opinion

We have audited the financial statements of Pacific Public Media (KNKX), which comprise the statements of financial position as of May 31, 2022 and 2021, and the related statements of activities, functional expenses, and cash flows for the years then ended, and the related notes to the financial statements.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of KNKX as of May 31, 2022 and 2021, and changes in its net assets and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of KNKX and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the KNKX's ability to continue as a going concern within one year after the date that the financial statements are issued or available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance



Tel: 206-382-7777
Fax: 206-382-7700
www.bdo.com

Two Union Square, 601 Union Street
Suite 2300
Seattle, WA 98101

with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the KNKX's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the KNKX's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

BDO USA, LLP

November 16, 2022

Financial Statements

**Pacific Public Media
(KNKX)**

Statements of Financial Position

<i>May 31,</i>	2022	2021
Assets		
Current Assets		
Cash	\$ 3,871,807	\$ 3,512,829
Underwriting receivables	230,871	137,379
Contributions receivable, net	1,408,627	1,377,883
Employee retention credit receivable	676,560	-
Prepaid expenses	390,139	358,265
Total Current Assets	6,578,004	5,386,356
Contributions receivable - capital campaign, net	550,151	8,382
Property and equipment, net	3,307,089	3,355,404
Identifiable intangible assets, net	8,056,835	8,077,636
Total Assets	\$ 18,492,079	\$ 16,827,778
Liabilities and Net Assets		
Current Liabilities		
Accounts payable and accrued expenses	\$ 63,277	\$ 38,678
Salaries and benefits payable	141,371	142,938
Current portion of debt	129,960	133,709
Deferred underwriting	13,055	26,270
Total Current Liabilities	347,663	341,595
Debt, net of current portion	-	129,961
Deferred underwriting - PLU	408,295	508,855
Lease incentive liability	190,466	197,456
Deferred rent liability	39,425	-
Total Liabilities	985,849	1,177,867
Net Assets		
Without donor restrictions	14,930,080	14,259,094
With donor restrictions	2,576,150	1,390,817
Total Net Assets	17,506,230	15,649,911
Total Liabilities and Net Assets	\$ 18,492,079	\$ 16,827,778

See accompanying notes to financial statements.

Pacific Public Media (KNKX)

Statements of Activities

Year Ended May 31,	2022			2021		
	Without Donor Restrictions	With Donor Restrictions	Total	Without Donor Restrictions	With Donor Restrictions	Total
Revenue and Support						
Listener support	\$ 4,950,105	\$ 1,333,627	\$ 6,283,732	\$ 4,780,454	\$ 1,227,883	\$ 6,008,337
Grants	-	-	-	90,000	150,000	240,000
Community service grant from Corporation for Public Broadcasting	495,534	-	495,534	794,140	-	794,140
Underwriting	1,414,269	-	1,414,269	1,200,469	-	1,200,469
In-kind contributions	553,317	-	553,317	226,091	-	226,091
Other income	65,330	-	65,330	31,399	-	31,399
Net assets released from restrictions	1,315,817	(1,315,817)	-	1,214,213	(1,214,213)	-
Total Revenue and Support	8,794,372	17,810	8,812,182	8,336,766	163,670	8,500,436
Expenses						
Program services						
Programming and production	3,537,286	-	3,537,286	3,495,082	-	3,495,082
Broadcasting and engineering	1,459,453	-	1,459,453	1,400,660	-	1,400,660
Program information and promotion	611,422	-	611,422	318,240	-	318,240
Total program services	5,608,161	-	5,608,161	5,213,982	-	5,213,982
Supporting services						
General and administrative	947,709	-	947,709	891,344	-	891,344
Fundraising and membership development	2,181,483	-	2,181,483	1,953,418	-	1,953,418
Total supporting services	3,129,192	-	3,129,192	2,844,762	-	2,844,762
Total Expenses	8,737,353	-	8,737,353	8,058,744	-	8,058,744
Change in Net Assets before Capital Campaign, Employee Retention Credit, and Paycheck Protection Program Loan Forgiveness	57,019	17,810	74,829	278,022	163,670	441,692
Capital campaign contributions	-	1,167,523	1,167,523	-	57,191	57,191
Capital campaign expenses	(62,593)	-	(62,593)	(273,586)	-	(273,586)
Employee retention credit	676,560	-	676,560	-	-	-
Forgiveness of paycheck protection program loan	-	-	-	687,500	-	687,500
Net assets released from restrictions	-	-	-	57,191	(57,191)	-
Change in Net Assets	670,986	1,185,333	1,856,319	749,127	163,670	912,797
Net Assets, beginning of year	14,259,094	1,390,817	15,649,911	13,509,967	1,227,147	14,737,114
Net Assets, end of year	\$ 14,930,080	\$ 2,576,150	\$ 17,506,230	\$ 14,259,094	\$ 1,390,817	\$ 15,649,911

See accompanying notes to financial statements.

**Pacific Public Media
(KNKX)**

Statement of Functional Expenses

	Program Services				Supporting Services				Total
	Programming and Production	Broadcasting and Engineering	Program Information and Promotion	Total Program Services	General and Administrative	Fundraising and Membership Development	Capital Campaign	Total Supporting Services	
<i>Year Ended May 31, 2022</i>									
Salaries, payroll taxes, and benefits	\$ 1,986,287	\$ 309,380	\$ -	\$ 2,295,667	\$ 637,083	\$ 1,425,881	\$ -	\$ 2,062,964	\$ 4,358,631
Professional and contract fees	1,349,056	161,238	49,754	1,560,048	166,593	276,929	49,555	493,077	2,053,125
Occupancy and tower leases	-	630,794	-	630,794	-	-	(6,990)	(6,990)	623,804
Advertising	-	-	557,581	557,581	7,726	-	-	7,726	565,307
Depreciation	119,733	32,728	-	152,461	42,379	64,676	-	107,055	259,516
Bank service charges	-	-	-	-	-	134,281	-	134,281	134,281
Software and technology	38,535	35,196	-	73,731	1,398	80,348	-	81,746	155,477
Online digital services	-	106,453	-	106,453	-	-	-	-	106,453
Telephone and internet services	3,661	52,902	-	56,563	-	-	-	-	56,563
Postage, printing, and shipping	-	5,132	1,567	6,699	146	61,224	1,815	63,185	69,884
Supplies	1,023	12,126	570	13,719	10,503	65,965	-	76,468	90,187
Travel	27,820	13,153	624	41,597	10,596	4,749	-	15,345	56,942
Utilities - power and gas	-	54,734	-	54,734	-	-	-	-	54,734
In-kind support	-	-	-	-	-	38,300	-	38,300	38,300
Equipment, repair, and maintenance	33	28,278	-	28,311	-	-	-	-	28,311
Taxes	183	17,339	-	17,522	5,411	10,895	29	16,335	33,857
Insurance	-	-	-	-	33,123	-	-	33,123	33,123
Legal services	-	-	-	-	11,578	-	13,410	24,988	24,988
Meetings and entertainment	548	-	665	1,213	3,543	12,386	4,774	20,703	21,916
Miscellaneous	1,485	-	570	2,055	14,663	2,572	-	17,235	19,290
Dues and subscriptions	8,922	-	-	8,922	1,899	3,277	-	5,176	14,098
License, fees, and permits	-	-	-	-	1,068	-	-	1,068	1,068
Office expense	-	-	91	91	-	-	-	-	91
Total Expenses	3,537,286	1,459,453	611,422	5,608,161	947,709	2,181,483	62,593	3,191,785	8,799,946
Less: Capital campaign expenses	-	-	-	-	-	-	(62,593)	(62,593)	(62,593)
Total Expenses Included in the Statements of Activities	\$ 3,537,286	\$ 1,459,453	\$ 611,422	\$ 5,608,161	\$ 947,709	\$ 2,181,483	\$ -	\$ 3,129,192	\$ 8,737,353

See accompanying notes to financial statements.

**Pacific Public Media
(KNKX)**

Statement of Functional Expenses

	Program Services				Supporting Services				Total
	Programming and Production	Broadcasting and Engineering	Program Information and Promotion	Total Program Services	General and Administrative	Fundraising and Membership Development	Capital Campaign	Total Supporting Services	
<i>Year Ended May 31, 2021</i>									
Salaries, payroll taxes, and benefits	\$ 2,063,011	\$ 306,452	\$ -	\$ 2,369,463	\$ 657,375	\$ 1,163,203	\$ -	\$ 1,820,578	\$ 4,190,041
Professional and contract fees	1,292,598	16,591	39,974	1,349,163	134,041	331,602	23,792	489,435	1,838,598
Occupancy and tower leases	-	578,930	-	578,930	-	-	(6,990)	(6,990)	571,940
Advertising	-	-	249,471	249,471	8,440	-	-	8,440	257,911
Depreciation and amortization	25,101	8,513	-	33,614	3,472	3,300	220,424	227,196	260,810
Bank service charges	-	-	-	-	-	147,213	-	147,213	147,213
Software and technology	-	-	23,853	23,853	896	7,666	-	8,562	32,415
Online digital services	43,589	159,824	-	203,413	-	1,118	-	1,118	204,531
Telephone and internet services	3,729	161,937	-	165,666	-	-	-	-	165,666
Postage, printing, and shipping	10	4,603	1,978	6,591	237	141,372	-	141,609	148,200
Supplies	392	10,302	76	10,770	8,909	78,799	-	87,708	98,478
Travel	19,908	11,945	22	31,875	1,925	4,301	-	6,226	38,101
Utilities - power and gas	-	37,218	-	37,218	-	-	-	-	37,218
Equipment, repair, and maintenance	-	46,924	-	46,924	-	-	22,212	22,212	69,136
Taxes	181	21,713	1,416	23,310	3,840	17,203	1,355	22,398	45,708
Insurance	-	-	-	-	40,396	-	-	40,396	40,396
Legal services	-	-	-	-	13,200	-	12,793	25,993	25,993
Meetings and entertainment	50	-	1,450	1,500	2,502	34,702	-	37,204	38,704
Dues and subscriptions	7,787	-	-	7,787	1,530	22,939	-	24,469	32,256
License, fees, and permits	-	28,851	-	28,851	1,146	-	-	1,146	29,997
Office expense	-	6,857	-	6,857	493	-	-	493	7,350
All Things Considered Project	38,726	-	-	38,726	-	-	-	-	38,726
Bad debts	-	-	-	-	12,942	-	-	12,942	12,942
Total Expenses	3,495,082	1,400,660	318,240	5,213,982	891,344	1,953,418	273,586	3,118,348	8,332,330
Less: Capital campaign expenses	-	-	-	-	-	-	(273,586)	(273,586)	(273,586)
Total Expenses Included in the Statements of Activities	\$ 3,495,082	\$ 1,400,660	\$ 318,240	\$ 5,213,982	\$ 891,344	\$ 1,953,418	\$ -	\$ 2,844,762	\$ 8,058,744

See accompanying notes to financial statements.

**Pacific Public Media
(KNKX)**

Statements of Cash Flows

<i>Year Ended May 31,</i>	2022	2021
Cash Flows from Operating Activities		
Change in net assets	\$ 1,856,319	\$ 912,797
Adjustments to reconcile change in net assets to		
Net cash flows from operating activities:		
Contributions restricted for capital campaign	(1,167,523)	(57,191)
Depreciation on property and equipment	259,516	260,810
Amortization of software conversion costs	20,801	-
Bad debt expense	-	12,942
Changes in operating assets and liabilities		
Underwriting receivables	(93,492)	131,034
Contributions receivable, net	(30,744)	37,318
Employee retention credit receivable	(676,560)	-
Prepaid expenses	(31,874)	7,771
Accounts payable and accrued expenses	24,599	(82,290)
Salaries and benefits payable	(1,567)	8,235
PPP loan forgiveness	-	(687,500)
Lease incentive liability	(6,990)	(6,989)
Deferred rent liability	39,425	
Deferred underwriting	(113,775)	(110,841)
Net Cash Flows from Operating Activities	78,135	426,096
Cash Flows for Investing Activity		
Capital campaign plus other acquisitions	(211,201)	(68,158)
Cash Flows from (for) Financing Activities		
Cash collected from capital campaign	625,754	77,774
Payments on long-term and other debt	(133,710)	(211,566)
Net Cash Flows from (for) Financing Activities	492,044	(133,792)
Net Change in Cash	358,978	224,146
Cash, beginning of year	3,512,829	3,288,683
Cash, end of year	\$ 3,871,807	\$ 3,512,829
Supplemental Disclosure		
Purchase of software and equipment through acquisition of debt	\$ -	\$ 389,881

See accompanying notes to financial statements.

Pacific Public Media (KNKX)

Notes to Financial Statements

1. Organization and Significant Accounting Policies

Organization

Pacific Public Media, incorporated January 13, 2016, and operating under KNKX 88.5 FM (KNKX), is a nonprofit corporation providing public radio programming and services to the Puget Sound region. KNKX broadcasts from its Seattle and Tacoma stations.

KNKX prides itself as a source of jazz, blues, and in-depth local and national news, available 24 hours a day online, through a cell phone application, or on the radio. KNKX also provides a full-time streaming jazz service, Jazz24. Broadcasting around the world, Jazz24 reaches a worldwide audience and further spreads the American music genre of jazz to new and old listeners alike.

KNKX runs an ongoing capital campaign to build its radio station space in Tacoma and Seattle Washington. The Tacoma station was placed into service in March 2020. In the year ended May 31, 2022, KNKX began to focus its capital campaign efforts on Seattle and leased space that it plans to renovate.

Financial Statement Presentation

KNKX reports information regarding its financial position and activities according to two classes of net assets: without donor restrictions and with donor restrictions. Contributions restricted by time or program are reported as net assets with donor restrictions and are then reclassified to net assets without donor restrictions when the restrictions are met.

Board-Designated Net Assets

KNKX has an operating reserve of \$1,693,439 that is designated by the board and included within net assets without donor restrictions at May 31, 2022 and 2021.

Net Assets with Donor Restrictions

Net assets with donor restrictions consist of the following at May 31:

	2022	2021
Time-restricted listener support	\$ 1,333,627	\$ 1,227,883
Capital campaign	1,167,523	-
Time-restricted grants	75,000	150,000
All Things Considered broadcasting	-	12,934
	\$ 2,576,150	\$ 1,390,817

Time-restricted listener support represents contributions scheduled by the listener to be received in the following year. KNKX has elected to report net assets with donor restrictions whose restrictions are met in the same period they are received as being without donor restrictions.

Pacific Public Media (KNKX)

Notes to Financial Statements

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect certain reported amounts and disclosures. Actual results could differ from the estimated amounts.

New Accounting Pronouncements

In February 2016, the Financial Accounting Standards Board (FASB) issued Accounting Standards Update (ASU) No. 2016-02, Leases (Topic 842). The new standard requires that any entity that is a lessee record, for all leases with a term exceeding 12 months, an asset representing its right to use the underlying asset for the lease term and a liability to make lease payments. The update is effective for KNKX for the year ending May 31, 2023, with early adoption permitted. KNKX is currently in the process of evaluating the impact of the new standard on the financial statements

In September 2020, the FASB issued ASU No. 2020-07, Not-for-Profit Entities (Topic 958): Presentation and Disclosures by Not-for-Profit Entities for Contributed Nonfinancial Assets. This update improves transparency regarding donated non-financial assets. The update is effective for KNKX for the year ending May 31, 2023, with early adoption permitted. KNKX is currently in the process of evaluating the impact of the new standard on the financial statements

Cash

Cash consists of cash held in banks. At times during the year, KNKX has cash in banks in excess of the FDIC insurance limits. To mitigate this risk, management believes it has selected financially sound banks to hold its funds.

Receivables

Almost all underwriting fees come from companies located in the Pacific Northwest. These receivables are stated at their outstanding principal balances.

Unconditional promises to give (contributions receivable) that are expected to be collected in one year are recorded at net realizable value. Contributions receivable over periods in excess of one year are initially recorded at fair value including assumptions about expected year of collection, estimated allowance, and donor-specific discount rates.

Management reviews underwriting and contributions receivable on a regular basis and establishes an allowance of 3% for accounts that may not be collectible. Any amounts written off are charged against the allowance. Management determined an allowance for uncollectible underwriting and contribution receivables was not necessary at May 31, 2022 and 2021. Write-offs amounted to \$0 and \$12,942 for the years ended May 31, 2022 and 2021, respectively.

Property and Equipment

KNKX capitalizes expenditures for property and equipment at cost or, if donated, at the estimated fair value at the time of receipt. KNKX capitalizes property and equipment purchases with a cost or donated value of greater than \$10,000 and a useful life in excess of one year. Depreciation is computed using the straight-line method over the estimated useful life for all property and

**Pacific Public Media
(KNKX)**

Notes to Financial Statements

equipment. Leasehold improvements are depreciated on the straight-line basis over the shorter of the term of the lease or the estimate useful live of the improvements.

Identifiable Intangible Assets

Identifiable intangible assets consist of amortizable and indefinite lived intangible assets. Indefinite lived intangible assets are stated at cost and consist of \$7,935,000 in FCC licenses at May 31, 2022 and 2021. FCC licenses were acquired in 2016 from Pacific Lutheran University (PLU) and have an indefinite life and, therefore, are not amortized. Intangible assets are reviewed at least annually for potential impairment.

Software conversion costs to a new software as a service were capitalized in the amount of \$142,636 as of May 31, 2021. Amortization began during the year ended May 31, 2022, when the software was implemented. Amortization expense of \$20,801 was included in software expense during the year ended May 31, 2022.

Amortization expense are as follows for the years ending May 31:

2023	\$	35,659
2024		35,659
2025		35,659
2026		14,858
	\$	121,835

Revenue Recognition

Listener support represents unconditional amounts given or pledged by individuals and are recognized in the period received. Subscription revenue consists of automatically renewing pledges and are included within listener support. Subscriptions are recognized over a 12-month period as of the renewal date of the initial commitment, as subscriptions may be canceled at any time by the donor. During the years ended May 31, 2022 and 2021, KNKX received \$205,422 and \$109,683 in contributions from related parties, respectively.

Grant revenue from the Corporation for Public Broadcasting represents unrestricted funding to support general operations. All grant revenue is recognized as revenue when the grant is awarded unless there are conditions placed on the grant by the donor. There were no outstanding conditional grants as of May 31, 2022 or 2021.

Underwriting fees are considered contracts with customers and are recognized in accordance with ASC Topic 606 and recognized when the related programming is aired on the radio or when digital sponsorships are delivered (i.e. the number of times the sponsorship appears in viewed internet pages) at the amount KNKX has the right to invoice. Revenue is recognized as a point in time. No significant judgements are necessary to determine the amount or timing of revenue recognition. Customers are billed at the end of each month for sponsorships aired during that month. Payment is generally due within 30 days of the invoice date. As of May 31, 2022 and 2021, KNKX had underwriting receivables of \$230,871 and \$137,379, respectively.

Pacific Public Media (KNKX)

Notes to Financial Statements

Underwriting fees received in advance are recognized as deferred underwriting revenue. In a prior year, KNKX partially paid for the purchase of an asset through the promise of future underwriting (see Note 4). The deferred underwriting related to this agreement was \$408,295 and \$508,855 as of May 31, 2022 and 2021, respectively.

KNKX expenses incremental costs to obtain a contract (such as sales commissions, general and administrative costs, and costs that cannot be assigned to a performance obligation) when incurred because the amortization period would have been one year or less.

In-Kind Contributions

Donated services and supplies are recognized at their estimated fair value in the financial statements. For the year ended May 31, 2022, \$502,642 of in-kind contributions was received from one donor. For the year ended May 31, 2021, \$226,091 of in-kind contributions was received from one donor. In-kind donations primarily consist of donated advertising. In addition, many individuals volunteer their time and perform a variety of tasks for KNKX, but these services do not meet the criteria for recognition in the financial statements as contributed services.

Functional Allocation of Expenses

The costs of providing the various programs and other activities have been summarized on a functional basis in the statements of activities and functional expenses. Accordingly, certain costs have been allocated among the programs and supporting services benefited. Occupancy, depreciation, and amortization expenses are allocated on a square-footage basis. Expenses such as salaries and wages, benefits, payroll taxes, professional services, office expenses, information technology, insurance, and other are allocated to their functional areas based on estimated time and effort.

Advertising

KNKX expenses advertising costs as incurred. Advertising costs for the year ended May 31, 2022 and 2021, were \$565,307 and \$257,911, respectively. Advertising expense is primarily donated advertising and is recognized as in-kind contributions. During the year ended May 31, 2022 and 2021, donated advertising was \$502,642 and \$226,091, respectively.

Income Taxes

KNKX is exempt from federal income taxes under Section 501(c)(3) of the Internal Revenue Code.

Reclassifications

Certain amounts in the prior-year financial statements have been reclassified to conform to the current-year presentation.

Subsequent Events

KNKX has evaluated subsequent events through the date these financial statements were available to be issued, which was November 16, 2022. See Note 9.

**Pacific Public Media
(KNKX)**

Notes to Financial Statements

2. Liquidity and Availability of Resources

KNKX strives to maintain liquid financial assets sufficient to cover 90 days of general expenditures. The general expenditures include costs to run programs, fundraise, perform underwriting services, and other contractual obligations. Financial assets in excess of daily cash requirements can be invested in certificates of deposit, money market funds, and other short-term investments.

KNKX manages its cash available to meet general expenditures following three guiding principles:

- Operating within a prudent range of financial soundness and stability,
- Maintaining adequate liquid assets, and
- Maintaining sufficient reserves to provide reasonable assurance that long-term mission fulfillment will continue to be met, ensuring the sustainability of the organization.

The following table reflects KNKX financial assets as of May 31, 2022 and 2021, reduced by amounts that are not available to meet general expenditures within one year of the statement of financial position date because of contractual restrictions, donor restrictions, or internal board designations. KNKX has board-designated funds held for an operating reserve. In the event that the need arises to utilize board-designated funds for liquidity purposes, these reserves could be drawn upon through board resolution.

<i>May 31,</i>	2022	2021
Financial Assets at Year-End		
Cash and cash equivalents	\$ 3,871,807	\$ 3,512,829
Underwriting receivables	230,871	137,379
Employee retention credit receivable	676,560	-
Contributions receivable, net	1,408,627	1,377,883
Contributions receivable - capital campaign	550,151	8,382
Total Financial Assets	6,738,016	5,036,473
Board-designated reserve	(1,693,439)	(1,693,439)
Donor-restricted for time or purpose	(1,242,523)	(1,390,817)
Total financial assets available to meet cash needs for general expenditures within one year	\$ 3,802,054	\$ 1,952,217

**Pacific Public Media
(KNKX)**

Notes to Financial Statements

3. Property and Equipment

Property and equipment consist of the following at:

<i>May 31,</i>	2022	2021
Property and equipment	\$ 1,048,744	\$ 1,048,373
Leasehold improvements	2,785,800	2,785,800
	3,834,544	3,834,173
Less: Accumulated depreciation	(738,060)	(478,769)
Construction in progress	210,605	-
	\$ 3,307,089	\$ 3,355,404

4. Deferred Underwriting - PLU

Under terms of the Asset Purchase Agreement (the Agreement) with PLU in 2016 (see Note 1), KNKX paid \$7 million in cash and was obligated to provide \$1 million of underwriting services to PLU. Under the Agreement, up to \$100,000 of underwriting is to be provided per year for 10 years, with an allowed unused carryover amount of \$10,000 per year. Underwriting in excess of \$100,000 per year will reduce the following year's allocation. Underwriting performed under the Agreement during the years ended May 31, 2022 and 2021, was \$100,560 and \$104,805, respectively. The remaining deferred obligation is \$408,925 and \$508,855 at May 31, 2022 and 2021, respectively.

5. Debt

In April 2020, KNKX received a loan through the SBA Paycheck Protection Program (PPP Loan) in the amount of \$687,500. The loan incurred interest at 1% and was unsecured. The principal and interest of the note was forgivable if the proceeds were spent on qualifying costs during the 24-week period following the date the note was issued. Qualified costs were considered as 60% of the loan amount on payroll costs, 40% on non-payroll costs including rent and utilities. Principal and interest payments were deferred for the first 10-months of the note period, following the 24-week period. KNKX received forgiveness of both the outstanding principal and interest on December 18, 2020, and recorded the PPP loan forgiveness as income in the statements of activities during the year ended May 31, 2021.

During the year ended May 31, 2021, KNKX financed the purchase of software for \$389,881. The note is interest free and payable in quarterly installments of \$32,490. The outstanding balance was \$129,960 and \$263,670 as of May 31 2022 and 2021, respectively. Minimum loan payments totaling \$129,960 are due in the fiscal year ending May 31, 2023.

6. Operating Leases

In September 2018, KNKX entered into a new lease agreement for office and broadcasting space in Tacoma, Washington. The lease was effective July 2019, with a 10-year term including four five-year

**Pacific Public Media
(KNKX)**

Notes to Financial Statements

options to extend (for a total available lease period of 30 years). The landlord agreed to cover tenant improvements up to \$209,688. Therefore, KNKX recorded a lease incentive liability related to these leasehold improvements, which will be amortized over the term of the lease as a reduction to rent expense.

KNKX leases its Seattle office and broadcasting station under a noncancelable lease that expires in December 2022. Lease payments are adjusted annually for changes in the Consumer Price Index. Lease expense under this lease during the years ended May 31, 2022 and 2021, was \$207,777 and \$197,877, respectively. Lease expense related to the Tacoma station lease was \$165,150 and \$161,260 during the years ended May 31, 2022 and 2021, respectively. Lease expense for the Seattle- Madore Building was \$39,425 for the year ended May 31, 2022. KNKX entered into this lease on April 1, 2022, though the building will not be occupied until the year ended May 31, 2023, as the space is being remodeled to fit KNKX's needs as discussed in Note 1.

Future minimum lease payments under these leases (assuming no Consumer Price Index adjustment) are as follows for the years ending May 31:

2023	\$	394,584
2024		443,824
2025		444,251
2026		454,790
2027		465,446
Thereafter		2,042,555
	\$	4,245,450

KNKX leases equipment and facilities for the purpose of transmitting at 9 separate locations (in addition to its Seattle and Tacoma stations). Terms range from month-to-month to an expiration in December 2030, and generally require monthly or annual payments with fixed annual increases. Lease expense under these leases during the years ended May 31, 2022 and 2021, was \$211,449 and \$212,803, respectively.

Future minimum lease payments under these leases are as follows for the years ending May 31:

2023	\$	210,503
2024		218,149
2025		217,951
2026		220,773
2027		216,746
Thereafter		487,311
	\$	1,571,433

**Pacific Public Media
(KNKX)**

Notes to Financial Statements

7. Retirement Plan

KNKX has a defined contribution 401(k) pension plan (the Plan) covering employees who meet prescribed service requirements. Contributions are made in accordance with the provisions of the Plan, which require employer contributions of 3% of total compensation and, in addition, a match of employee contributions of up to 5% of compensation. During the years ended May 31, 2022 and 2021, KNKX contributed \$230,102 and \$242,866, respectively, to the Plan.

8. Employee Retention Credit

KNKX applied for employee retention credits in November 2021 totaling \$676,560. These credits were made available by the Coronavirus Aid, Relief, and Economic Security (CARES) Act in response to the COVID-19 pandemic. Payment was yet to be received as of the date of issuance of these financial statements. These credits were recognized as revenues following the guidance in ASC 958-605 as conditional grants. Management believes all conditions were substantially met during the year ended May 31, 2022, when KNKX filed its amended forms 941 with the IRS.

9. Subsequent Event

KNKX entered into a commitment with a contractor for the renovation of the Seattle space as described in Note 1. The maximum price of the contract is \$3,323,925 and is expected to be completed during the year ending May 31, 2023.